

Key Findings Report

EXECUTIVE SUMMARY

An analysis of **10,000 customer records** from our European retail banking division reveals a **20.37% churn rate** — meaning 1 in every 5 customers has left the bank. Most critically, **1,211 of the churned customers held balances above 100,000**, representing disproportionate revenue loss from our highest-value segment. Churn is concentrated in Germany, the 41–60 age bracket, female customers, and those holding 3 or more products. Immediate retention action is recommended for the 178 identified high-risk customers still retained.

TOTAL CUSTOMERS	CHURN RATE	CUSTOMERS LOST	HIGH-VALUE LOST
10,000	20.37%	2,037	1,211
Records analyzed	1 in 5 customers	Jan 2025 snapshot	Balance > 100k

DETAILED FINDINGS

F1 Germany Crisis			
Geography	Total	Churned	Churn Rate
Germany	2,509	814	32.44%
Spain	2,477	413	16.67%
France	5,014	810	16.15%
Germany churns at 32.44% — more than double the rate of France (16.15%) and Spain (16.67%), despite having a similar customer base size. This points to a geography-specific issue: potentially aggressive competitor activity, service quality gaps, or pricing misalignment in the German market. Immediate regional investigation is recommended.			
F2 Age Risk Zone			
Age Group	Total	Churned	Churn Rate
51–60	797	448	56.21%
41–50	2,320	788	33.97%
Above 60	464	115	24.78%
30–40	4,778	562	11.76%
Under 30	1,641	124	7.56%
The 51–60 age group churns at a critical 56.21% — more than half of all customers in this bracket have left. The 41–50 group follows at 33.97%. Together, these two groups represent the bank's highest-risk demographic. In contrast, customers under 30 are highly loyal at just 7.56%, suggesting strong product-market fit with younger customers.			

F3 Gender Gap			
Gender	Total	Churned	Churn Rate
Female	4,543	1,139	25.07%
Male	5,457	898	16.46%
Female customers churn at 25.07% compared to 16.46% for male customers — an 8.6 percentage point gap. This is a significant and consistent difference that warrants investigation into whether product offerings, service experiences, or communication styles are failing to meet the needs of female customers.			

F4 Product Paradox			
Products	Total	Churned	Churn Rate
1 product	5,084	1,409	27.71%
2 products	4,590	348	7.58%
3 products	266	220	82.71%
4 products	60	60	100.00%
Customers with 2 products have the lowest churn rate at 7.58% — indicating that cross-selling one additional product significantly improves retention. However, customers with 3 or 4 products churn at 82.71% and 100% respectively. This suggests aggressive over-selling is actively damaging customer relationships. The sweet spot is 2 products.			

F5 Engagement Deficit			
Status	Total	Churned	Churn Rate
Inactive (0)	4,849	1,302	26.85%
Active (1)	5,151	735	14.27%
Inactive members churn at 26.85% — nearly double the 14.27% rate for active members. This is one of the most actionable findings: re-engagement campaigns targeting the 4,849 inactive customers could significantly reduce overall churn. Early warning systems to detect disengagement before customers churn should be considered.			

F6 Losing Best Customers				
Status	Avg Age	Avg Credit Score	Avg Balance	Avg Tenure
Retained (0)	37.4	651.9	72,745	5.0
Churned (1)	44.8	645.4	91,108	4.9
Churned customers are on average 7 years older (44.8 vs 37.4) and hold 25% higher balances (91,108 vs 72,745) than retained customers. The bank is disproportionately losing its wealthiest and most established customers. Credit score and tenure show minimal difference, confirming that financial standing alone does not protect against churn.				

CUSTOMER SEGMENTS IDENTIFIED

Segment	Count	Definition	Action
High Risk	178	Inactive · Age 41–60 · Germany · Not yet churned	Priority retention outreach
Most Loyal	417	Active · Under 30 · 2 products · Retained	Upsell & referral programs
High Value Retained	3,588	Balance > 100k · Not churned	Premium service & engagement

RECOMMENDATIONS

Immediate	Launch targeted retention campaign for 178 high-risk customers (inactive, age 41–60, Germany) before they churn.
Short-term	Investigate Germany-specific issues — competitor pricing, service gaps, or product misfit driving 32% churn rate.
Short-term	Review product bundling strategy — customers with 3–4 products churn at near 100%. Cap cross-sell at 2 products.
Medium-term	Deploy re-engagement program for 4,849 inactive members. Early disengagement detection system recommended.
Medium-term	Develop tailored offerings for female customers to close the 8.6 percentage point gender churn gap.
Ongoing	Build age-specific retention programs for the 41–60 bracket — account for life stage, wealth management needs.